

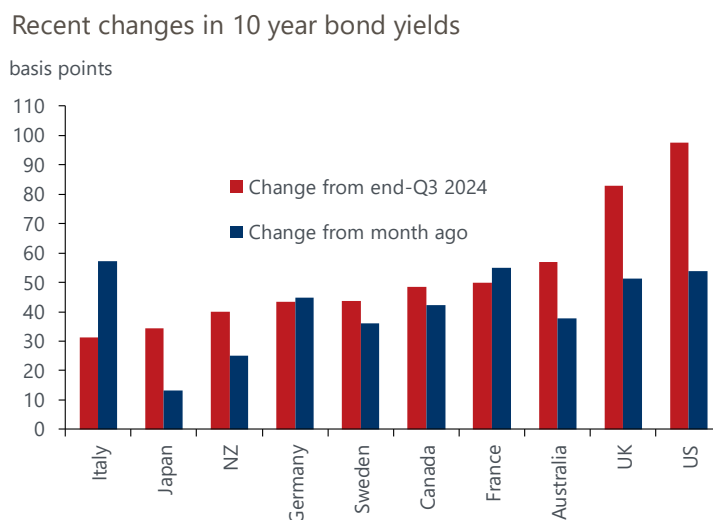
## Research briefing | UK

# Weakness in sterling and gilts - causes and consequences

- Recent weakness in sterling and gilts has sparked misplaced comparisons with the 1970s and the 2022 "Truss" crisis. However, unlike those episodes, sterling's trade-weighted index is not especially weak and the recent rise in gilt yields is not out of line with other major markets.
- The main cause of recent UK market weakness is the abrupt shift in US interest rate expectations and bond yields, and resultant dollar strength. The UK, with twin deficits, is relatively exposed to perceptions of a shift to a higher global real interest rate outlook. Recent stickiness in UK inflation and risks of further UK fiscal slippage may be playing a role, but a secondary one.
- If sustained, the rise in bond yields will hit consumer spending, business investment, and housing, reinforcing the prospect that UK growth will remain modest this year. To restore some headroom versus the fiscal rules, the Chancellor may have to respond by trimming planned public spending in the March fiscal update. This would further drag on the outlook for growth and create extra questions over whether the spending plans are plausible.
- So far, the recent market strains don't appear to be causing broader financial instability, and it's highly unlikely that the Bank of England will launch a 2022-style gilt market support program.
- The Monetary Policy Committee will probably lean against market pricing at the upcoming February policy meeting, by forecasting that inflation is set to undershoot the 2% target if Bank Rate follows the market path, hence implying they intend to cut rates more than markets project.
- Our baseline remains for the MPC to cut rates by 25bps in February, but this will depend on upcoming data and, especially, market pricing. The MPC would be reluctant to implement a surprise rate cut, in order to reduce risks that the Committee itself contributes to market volatility and uncertainty.

Although both sterling and gilts have sold off in recent days, talk of a late-2022 Truss-style UK crisis is wide of the mark. The recent rise in bond yields has been widespread and seems to be led by rising US bond yields (**Chart 1**).

Chart 1: The recent rise in global bond yields has been led by the US



Source: Oxford Economics / Haver Analytics

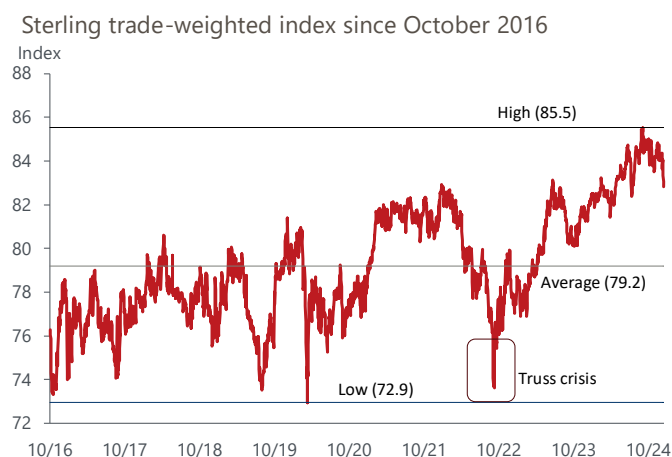
# Weakness in sterling and gilts - causes and consequences

## It's not a UK-centred crisis.

The UK has not been a unique underperformer among advanced economies. Since the end of Q3 2024, 10-year yields have risen by 80bps-90bps in the UK, but they have risen slightly more in the US. In the most recent phase of the rise in bond yields over the last month, 10-year yields have risen by similar amounts (50bps-60bps) in the US, France, Italy, and the UK, and by only slightly less (about 40bp) in Canada and Germany.

Moreover, sterling's depreciation against the USD is more a reflection of broad-based dollar strength than sterling weakness. The trade-weighted index has weakened from recent highs (**Chart 2**) but remains well above the average level since the mid-2016 Brexit vote – and indeed, was recently at the strongest levels of that period.

### Chart 2: Unlike late-2022, sterling's trade-weighted index is not especially weak

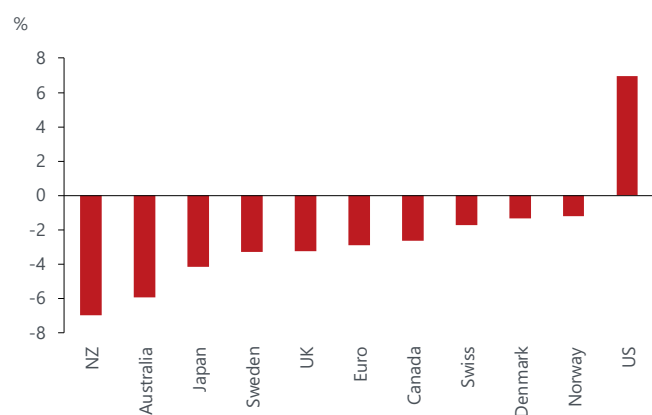


Source: Oxford Economics/Haver Analytics

Consistent with that, the recent depreciation in sterling's trade-weighted index is not unusually large compared to other major markets (**Chart 3**).

### Chart 3: The recent drop in sterling's trade-weighted index is not uniquely large

Change in trade-weighted exchange rates since end-Q3 2024



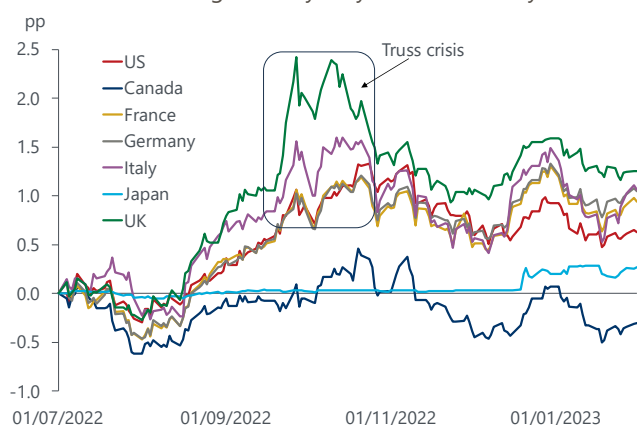
Source: Oxford Economics / Haver Analytics

By contrast, the late-2022 Truss crisis saw sterling's trade weighted index fall sharply – close to the post-referendum lows – with UK bond yields rising much more sharply than yields in other major advanced economies. Unlike now, that was clearly a UK-centred crisis.

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**Chart 4: In the Truss crisis, UK yields rose much more rapidly than other markets**

G7 countries: change in 10-year yields from 1 July 2022



Sources: Oxford Economics/Haver Analytics

## What's causing the weakness?

The main driver of recent market moves is the shift in market expectations to reduced Fed easing – partly reflecting recent resilience in activity – as well as [higher US policy uncertainty](#) linked to the incoming administration. This has been reflected in a sharp rise in US bond yields (both front-end and long-end) and broad-based dollar strength. The UK, like other markets, is caught in the slipstream.

To be sure, the rise in UK yields also partly reflects domestic factors. CPI inflation in October and November exceeded the Monetary Policy Committee's forecast from the November Monetary Policy Report (although today's December figure was in line with MPC expectations). The scale of the increases in planned public spending in the late-2024 UK Budget may have added to worries that the new Labour government will find it hard to restrain public spending, while also leaving relatively little headroom against the fiscal rules.

What's more, the UK, as a smallish open economy with sizeable fiscal and current account deficits, is relatively vulnerable to a global shift to higher real yields. Domestic factors have also affected other markets outside the US. But the key point is that this is mostly a broad-based rise in yields and the dollar rather than a shift specifically focussed on the UK.

## What will the effects be?

Higher bond yields will quickly feed through to household fixed mortgage rates – the key five-year fixed rates had already been rising in recent months. Companies' bank debt is mostly floating rate, and hence companies may scale back hopes of lower interest rates.

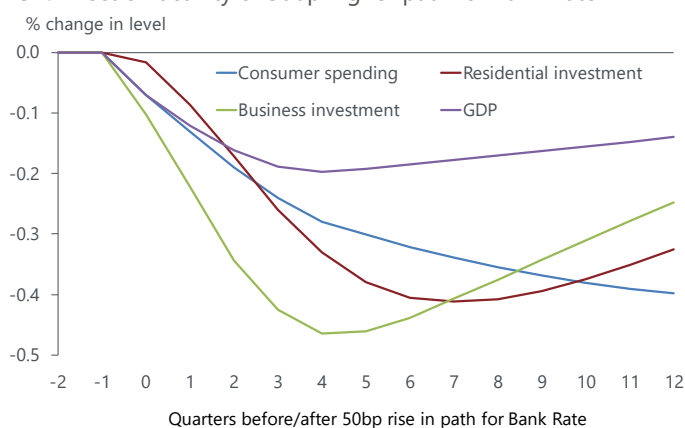
As a rough guide, simulations with the OE model suggest that a sustained 50bp rise in Bank Rate (which is roughly what has happened to the market rate path since the November MPR) would cut about 0.5ppts off business investment after a year, with slightly smaller effects on consumer spending and housebuilding (both about 0.3ppts). The effect on GDP would be about -0.2ppts. This scenario adds to the sense that the UK's growth prospects remain disappointing. Note that this scenario may understate the actual effects if higher bond yields persist, because it does not allow for any adverse effects on external growth (and hence UK exports and investment) from higher yields elsewhere.

Higher bond yields also will add to the government's borrowing costs. Using the Office for Budget Responsibility's ready reckoners, we estimate that the modest headroom in the late-2024 Budget (£9bn-10bn) will be used up if yields remain at current levels.

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**Chart 5: Higher market rate path would dampen growth outlook**

UK: Effect on activity of 50bp higher path for Bank Rate



Sources: Oxford Economics/Haver Analytics

## What policy response – if any – is likely?

We don't expect any major near-term policy response. It's highly unlikely at present that the BoE will repeat their late-2022 market stabilisation program, which involved substantial gilt purchases (about £20bn at market value, financed by reserves). That program was triggered by financial stability worries, with fears that rising yields were causing a vicious circle of forced selling by LDI funds which could destabilise pension funds, the gilt market, and financial markets more broadly.

Signs of severe financial stability strains are absent currently. Certainly, use of the BoE's short-term repo facility (which provides liquidity for banks) rose last week. But this has been trending up for a while as the ongoing sale of the BoE's Asset Purchase Facility (APF) gilt holdings reduces banks' reserves towards equilibrium, reflecting the shift to a [repo-led system for supplying bank reserves](#) rather than financial stress.

**Chart 6: Recent use of BoE liquidity facilities is not unusual compared to H2 2024**

UK: Short-term repo outstanding



Sources: Oxford Economics/Haver Analytics

The BoE do have flexibility to postpone planned sales of its APF gilt holdings, and this is a decision for the Bank's executive rather than the MPC. The next APF sale is scheduled for January 27 (£550m of long gilts). The BoE do not need to decide yet whether to proceed with that sale, and as things stand, we assume they won't postpone it.

But it is conceivable this could change if markets become disorderly. In any case, the pace of APF gilt sales this year is relatively low, and they account for only a small share of the planned APF rundown. So if the BoE do postpone the next gilt sale, they would have plenty of scope to resume sales later in the year.

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Further ahead, if gilt yields remain around current levels, the Chancellor will face a tough decision over whether and how to respond in the March fiscal event on March 26. Unless there are other favourable forecast changes, the OBR may well (with current yields) project the Chancellor is on course to miss her fiscal rules or to have an unsustainably low headroom.

In theory, the Chancellor could simply state that, having previously said there will only be one Budget per year, she will do nothing in the March fiscal event. Instead, she will decide what, if anything, to do in the 2025 Budget, which probably will be in the autumn. However, in practice, a wait-and-see strategy seems unlikely. Given that the detailed public spending plans will be set around midyear, it would be harder to alter those plans in the year-end Budget. A wait-and-see strategy would tend to reinforce the impression that the Chancellor finds it difficult to restrain spending and the government's fiscal credibility could weaken further. That's not a desirable position for a new and relatively inexperienced government.

In practice it seems more likely that the Chancellor will, if needed, cut planned spending enough to allow the OBR to say the UK is on track to meet the fiscal rules with the same or higher headroom as in the late-2024 Budget. This would add further to planned fiscal restraint in coming years, which already is sizeable. But, unless backed up by measures to lift public sector productivity or rein in benefit spending, it would raise more questions over whether the spending plans are sustainable. Of course, it would be better to aim to meet the fiscal rules with sufficient headroom to ensure fiscal policy is less vulnerable to swings in bond yields, but that would require a much weaker baseline for public spending (or further tax hikes).

## What will the MPC do?

External MPC member Alan Taylor (who voted to cut rates at the December meeting) is due to speak later today. But it's unlikely that the MPC as a whole will give a running commentary on the economic outlook and bond yields in the next week or two. In particular, the Committee cannot really commit to a coherent view before they've finished the updated forecast to be published at the upcoming February policy meeting.

Recent MPC communication has pointed to further gradual easing in 2025. At the November meeting, the MPC implicitly endorsed the market rate path, which had four 25bp cuts in 2025 (to 3.75%) and some further easing beyond that, with their forecast that inflation would be close to target two-three years ahead if rates follow that path. At the December meeting, three MPC members voted for an immediate rate cut, and the committee said it was increasingly putting weight on the weakness in growth and employment. The majority of other MPC members still expected further gradual easing. This approach was also endorsed in a [recent speech](#) by Deputy Governor Sarah Brendon.

UK news since then has not fundamentally changed the outlook, with inflation in Q4 as a whole slightly higher than the MPC expected but growth weaker.

The big challenge for the MPC at the February monetary policy meeting is how they factor in the effects of higher bond yields and the rise in the market rate path, which now prices in one to two 25bp cuts by year-end.

One approach would be to regard these shifts as an exogenous and unwarranted tightening in UK and global financial conditions, which weakens the outlook for UK growth and inflation, and hence implies that the MPC will need to cut rates even further than implied by the November MPR forecast.

An alternative approach would be for the MPC to conclude that the rise in bond yields is an endogenous response to underlying shocks – more resilient US growth, probable policy changes under the new US administration, recent higher UK inflation – which imply that UK interest rates need to stay higher for longer to ensure a sustained return of inflation to target. That would imply less need to cut Bank Rate than the November outlook. And to the extent that rising bond yields reflect a higher risk premium for fiscal slippage in the UK and globally, the MPC might worry that if they offset this with faster easing this might be interpreted as a form of fiscal dominance that would erode its anti-inflation credibility.

We suspect that in the February MPR, the MPC will steer somewhere between these two alternatives. The Committee is likely to judge that upside inflation risks have risen slightly, but that the tightening in financial conditions from higher bond yields will significantly dampen UK growth. It will probably conclude that if interest rates follow the current higher market path, inflation would be likely to undershoot the 2% target

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over time. In other words, their implicit expectation will probably be to cut rates a bit faster than markets price, perhaps three or four rate cuts over this year rather than the one or two cuts priced by markets.

But even then, any interest rate guidance is likely to be implicit (i.e., look at their forecast) rather than an explicit statement that they expect to ease more than markets price in. And, of course, it will be data dependent in the sense that the MPC will revise its judgements on the inflation outlook as further data come through.

Our baseline remains for a 25bp cut at the February meeting. But - with heightened market volatility - the MPC will put a relatively high weight on avoiding surprise easing, to reduce risks that they themselves create extra uncertainty and volatility. At present, markets imply the probability of a 25bp cut in February is clearly better than 50%, which probably would be enough to allow the MPC to ease. Nevertheless, the MPC will be reluctant to implement a rate cut at the February meeting if one is not substantially priced in. If market pricing were to shift against a cut, the Committee could opt to keep rates on hold in February, while highlighting the prospect for further easing in its forecast and comments, keeping the door open to ease in March or May – data and markets permitting.

